

Hollow Verge Publishing Catalog Due Diligence Findings

Data room audit — Northbridge Catalog Partners LLC (Seller)

1,149 files · 602 PDFs · 497 CSVs · processed by automated pipeline (extract → manifest → specialist agents → synthesis) ·
10 June 2026

CLAIMED FY23 REVENUE

\$820k

Verifies to \$470–
512k — overstated
60–74%

VERIFIED BASE

\$470k

Sum of seller's own
CY2023 statements

TOP-SONG CONCENTRATION

39%

"December
Rooftops" —
disclosed as ~30%

REQUIREMENTS MET

0/18

8 partial · 10 missing

MISSING STATEMENTS

20+

GEMA lost 2021–23
· no MLC at all

1 What is for sale

Seller: Northbridge Catalog Partners LLC (Delaware), which acquired the catalog from Vermillion Music Publishing in November 2017.

- **Offered:** 100% worldwide publishing on **32 compositions** across three Hollow Verge albums — *Soft Static* (1998, 10), *Pale Engines* (2001, 11), *The Migrant Hour* (2005, 11) — plus Northbridge's interest in the **masters** of *Pale Engines* and *The Migrant Hour*, and accrued income through closing.
- **Excluded:** *Ordinary Weather* (2010, band-owned); Japanese B-sides EP / *Night Sounds* (reverted to Asahi Editions, 2018).
- **Seller claims:** FY2023 ~\$820k · FY2024 ~\$785k · top song ~30% of revenue · top 5 ~56%.

The composition count does not close.

The 2017 assignment deed recites **40** compositions; the sale covers **32**; the seller's internal inventory lists **60** works. The definitive schedule of assigned works was never produced.

2 Headline findings

2.1 Title is unproven — deal-blocking

- The foundational 1998 Vermillion agreement is an **administration / co-publishing deal, not an assignment** — rights revert to the writers on termination. Whether Northbridge ever *owned* the catalog is unresolved.
- The 2017 Vermillion→Northbridge deed in the room is **unexecuted** (blank signature blocks); the master purchase agreement and all schedules/annexes are missing.
- The masters chain rests on a 2014 Reston Vance / Capston assignment **not in the data room**.
- **No writer agreements and no copyright registrations** exist anywhere in the room.

2.2 Revenue overstated ~60–74% — price-defining

- Seller's own detail documents reconcile to ~**\$470–512k/yr**, not \$820k/\$785k.
- The gap ≈ Capston's **label gross receipts (~\$306k/yr)** counted as publishing revenue — Northbridge collects only an ~18% royalty on those.
- Summaries **double-count a \$42k BMW settlement** (booked in both 2022 and 2023), include a **\$30k PRS black-box payout never received**, and carry PRS/ASCAP lines at 1.4–2.5× the actual publisher entitlement (writer-share double-counting).
- **Concentration is worse than disclosed:** December Rooftops ≈ 39% of earnings (vs ~30% claimed); top 5 ≈ 65% (vs 56%) — and rising.

2.3 Evidence of fabricated or forward-dated documents

- Capston/2H-FY2026.pdf covers Jan–Jun 2026 and is **issue-dated 28 Oct 2026 — a date in the future**.
- The “FINAL post call” term sheet is **byte-identical** (same MD5) to the draft and v1 — three filenames, one document.
- scan_final.pdf is a holiday photo JPG renamed; 13 zero-byte placeholders (“AWAITING_UPLOAD”, lock files, failed exports); 17 duplicate groups in total.

2.4 Rights disputes & estates — cure before closing

Issue	Detail	Exposure
Quiet Engine	Two conflicting split sheets; operative v2 (incl. Hassan Iqbal 12%) unsigned by 2 of 5 writers ; Iqbal has counsel engaged, claims years of unpaid UK/US royalties	Back-royalties + contested splits
Carrying Stones	Naomi Tate's signed 4% share missing from the PRS registration since 2005 ; two written complaints ignored	~20 yrs back-payment liability
December Rooftops	Lena Akhtar (30% writer on the top earner) died 2022; share sits in PRS suspense; no estate contact	Top asset partially frozen
Slow Engine	8% sample share “signed” by a writer deceased 12 years earlier ; controlling Bug Music side letter exists only as an illegible 2001 fax; internal note hints at a “2027 sample escalation”	Unquantified assumed liability
Petrov estate	Julian Petrov writes on all 32 songs (~25%); zero probate documents; estate bank details changed informally by post	Succession + payment-fraud risk
Pulse sync agency	3-year appointment (2018) never renewed; Pulse still issuing licences in 2021–22 (incl. BMW)	Licence validity risk

2.5 Statement coverage gaps — verification-blocking

- **GEMA (DE): 2021–2023 entirely missing** — internally admitted lost; Germany booked at \$0.
- **US mechanicals:** HFA stops 2019-Q4; **no MLC statements at all** (2021 onward).
- SACEM missing 2022 (both halves) · SGAE missing 2019-H1, 2024-H2 · PRS missing 2023-Q2, 2024-Q3, 2025-Q1 · ASCAP missing 2022-Q3, 2024-Q1 · MCPS missing 2018-Q1, 2021-Q2, 2022-Q4 · BMI missing 2020-Q2 (misfiled in the ASCAP folder), 2023-Q1, 2024-Q2 · SOCAN missing 2019-Q3, 2023-Q3 · PPL missing 2018, 2025.
- Spotify 2019-05 misfiled in the Amazon folder; Tidal “2025-13.csv” (a 13th month) is an empty file; Atlântico (Brazil) silent since Q2-2023; no YouTube Content ID income ever reported.

3 Gap analysis — fund requirements vs data room

10 missing	8 partial
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18 required document classes → 0 fully satisfied. Status: **MISSING** **PARTIAL**

#	Fund requirement	Status	Note
1	Executed chain of title (1998→2017→today) + schedules	MISSING	Deed unexecuted; schedules absent
2	Master purchase agreement (Vermillion)	MISSING	Referenced in deed, never produced
3	Masters assignment (Reston Vance / Capston, 2014)	MISSING	Entire masters chain undocumented
4	Signed split sheets, all works	PARTIAL	32/32 present; 2 disputed/unsigned
5	Writer agreements (5 third-party writers)	MISSING	None on file
6	Copyright registrations	MISSING	None on file
7	PRO registrations matching split sheets	PARTIAL	2 known mismatches (Tate, Iqbal)
8	Probate / succession (Petrov, Akhtar estates)	MISSING	No grant of probate or letters of administration
9	Sample clearance (Bug Music / Hammond)	MISSING	Illegible fax only; possible 2027 escalation
10	Sub-publishing agreements + current status	PARTIAL	Agreements present; renewals/terminations absent
11	Sync agency appointment in force	PARTIAL	Expired 2021; unsigned
12	Complete PRO statements 2018–2025, all societies	PARTIAL	~85% coverage; 20+ statements missing
13	US mechanical statements 2021+ (MLC)	MISSING	Entire society absent
14	Distributor statements + advance side letters	PARTIAL	\$120k advance side letter missing; silent recoupments
15	Settlement & one-off income confirmations	MISSING	BMW \$42k settlement memo absent
16	Per-song earnings ledger	MISSING	Concentration cannot be fully verified
17	Litigation / claims register	MISSING	Active claims exist only in correspondence
18	Executed term sheet / deal documents	PARTIAL	Draft only — three identical copies

4 Process to collect the missing documents

Counterparty	Request	Priority
Seller (Lena Kowalski)	Executed 2017 deed + schedules; Vermillion purchase agreement; Reston Vance masters assignment; Capston \$120k advance side letter; BMW settlement memo; per-song ledger; litigation register	P0
Seller's counsel (Reeves & Patel)	Title opinion; estoppel certificates from the four writers/estates re: 1998 admin agreement status	P0

GEMA / SACEM / SGAE / PRS / ASCAP / BMI / SOCAN / MLC	Duplicate statements for all gap periods (societies reissue on request); registration extracts for <i>Carrying Stones</i> and <i>Quiet Engine</i>	P1
Petrov & Akhtar estates	Grant of probate / letters of administration; verified payment instructions (callback verification; written bank-change controls)	P1
Bug Music (now BMG)	Legible copy of the 12 Apr 2001 Hammond side letter, including any escalation clause	P1
Pulse	Post-2021 authority documentation; full licence schedule	P2

The pipeline is the collection tracker.

Every received document is dropped back into the data room → the pipeline re-runs (manifest, hash-dedupe, coverage matrix, reconciliation) → the 18-class scorecard re-scores automatically → the requisition list shrinks until everything is green. The same checklist doubles as the standing requisition log sent to the seller.

5 Recommendation

Do not proceed at the indicated basis.

Re-cut any offer off verified revenue (~\$470k base, ~39% single-song concentration, declining ex-sync), with closing conditions: executed chain of title; PRS re-registrations and back-payment quantification (Tate, Iqbal); estate documentation; legible sample clearance; and a holdback/escrow covering the unquantified liabilities (Hammond escalation, GEMA black-box, accrued writer claims).